

# Chapter 22

## Getting Divisions to Work in the Firm's Best Interests

# Chapter 22 – Learning Objectives

- 22.1 Know the ulterior motto of parent companies.
- 22.2 Describe transfer pricing and explain its importance.
- 22.3 Define profit center and cost center.
- 22.4 Describe the advantages of having functional units.
- 22.5 Explain the importance of coordination between various functional divisions.
- 22.6 Describe multidivisional structure.
- 22.7 Explain budget games played by division managers.

# Chapter 22 – Main Points

- Companies are principals trying to get their divisions (agents) to work profitably in the interests of the parent company.
- Transfer pricing does not merely transfer profit from one division to another; it can result in moving assets to lower-value uses. Efficient transfer prices are set equal to the opportunity cost of the asset being transferred.
- A **profit center** on top of another profit center can result in too few goods being sold; one common way of addressing this problem is to change one of the profit centers into a **cost center**. This eliminates the incentive conflict (about price) between the divisions.
- Companies with functional divisions share functional expertise within a division and can more easily evaluate and reward division employees. However, change is costly, and senior management must coordinate the activities of the various divisions to ensure they work towards a common goal.
- Process teams are built around a multi-function task and are evaluated based on the success of the project on which they are working.
- When divisions are rewarded for reaching a budget threshold, they have an incentive to lie to make the threshold as low as possible, thus ensuring they get their bonuses. In addition, they will pull sales into the present, and push costs into the future, to make sure they reach the threshold. A simple linear compensation scheme solves this problem.

# Warm-Up

- Have you ever worked somewhere, or been on a team, where two groups should have worked together but didn't? Why do you think they didn't cooperate?

# General Motors – The EV Battery Division Conflict

- GM's Electric Vehicle (EV) Division sourced batteries from its internal Battery Division.
- Battery Division charged internal transfer prices close to market rates to maximize its own profit.
- EV Division protested: high battery costs made its vehicles uncompetitive in price-sensitive markets.
- Conflict escalated — EV Division threatened to source batteries externally.
- Top management stepped in to rebalance internal incentives and prevent value destruction.

## Key Takeaways:

- Treating divisions as independent profit centers can backfire when products move between them.
- Without centralized strategy, internal pricing can sabotage competitiveness.
- Aligning incentives and performance measures with corporate strategy is critical.

# Divisions as Agents – The Core Incentive Problem

- Divisions are often evaluated as profit centers.
- This gives them autonomy but creates incentive misalignment.
- Conflict arises when division goals diverge from company-wide goals.
- Use the 3-question framework:
  - Who is making the bad decision?
  - Do they have the right information?
  - Are their incentives aligned with the firm?
- Using this framework, we can determine if this is an issue of:
  - Incentive structure
  - Information flow
  - Decisions rights

# General Motors Again...

- **Who made the problematic decision?**
  - The Battery Division, by setting high internal prices.
- **Did they have enough information?**
  - Yes — they knew it hurt the EV division's pricing strategy.
- **Did they have the right incentives?**
  - No — their bonus and evaluation were tied to division profit, not company-wide performance.

# Transfer Pricing – When Divisions Compete

- Two profit centers = two markups on a single product.
- Result: High internal costs, reduced competitiveness, lower firm profit.
- Example: GM EV Division pays above-market for internal batteries → higher vehicle prices.
- Solutions:
  - Convert upstream division to a cost center.
  - Use marginal cost or dual pricing.
  - Align performance with corporate profit, not just division goals.

## Key Takeaways:

- Transfer pricing is not neutral. It can shift behavior and hurt firm value.
- The double markup problem arises when both divisions maximize their own profit.
- Structural fixes (like cost centers or shared metrics) are key to resolving it.

# General Motors Again...

- **Potential solutions:**

- Use marginal cost transfer pricing
  - Reclassify the Battery Division as a cost center for internal transfers
  - Let it transfer batteries at marginal costs rather than market price
- Implement a dual pricing or negotiated system
  - EV Division pays a lower internal transfer price
  - HQ subsidizes the Battery Division for lost margins
- Tie both divisions' bonuses to shared metrics
  - Both divisions only earn bonuses if EV sales or firm profit improves
- Centralize pricing decisions for strategic components
  - Take pricing authority away from divisions
  - Central leadership sets prices

# Discussion Activity 1

- Should an internal division be allowed to charge full market price to another division?
- Consider if both are profit centers. What if the markup hurts firm-wide competitiveness?

# Functional Silos v. Process Teams

- **Functional silos:** Teams organized by expertise (e.g., engineering, production, finance).
  - Pros: Deep specialization, easy evaluation.
  - Cons: Poor cross-functional coordination, conflicting goals.
- Coordination costs – time, effort, and negotiation required increase
- Example: Jet engine team created high-efficiency design that was too costly to build.
- Absence of horizontal accountability
  - Departments are only concerned with their metrics
- Vertical structures
  - Good for specialization but may lack coordination

# Functional Silos v. Process Teams

- Lateral coordination – cross-functional mechanisms like project leads or product teams
  - Helps to formalize coordination and assign accountability
- **Process teams** (or M-form): Cross-functional units responsible for end-to-end performance.
  - Units are responsible for distinct product lines, geographies or customer segments
  - Encourages collaboration, faster decision-making, shared goals.
- Dual structure
  - Divisions focus on day-to-day operations
  - Headquarters focuses on bigger picture through centralized control
- Why it works...
  - Focus: divisions focus on specific market with deeper expertise
  - Accountability: profit and loss drives ownership accountability at divisional level
  - Strategic oversight: HQ acts as internal investor and allocates capital where highest values are created
  - Scalability: can accommodate growth

# Activity – Fix the Division Conflict

## Scenario:

- Two divisions at a tech firm are clashing: the Chip Division wants to charge internal market prices for processors, while the Product Division claims this makes their consumer devices too expensive. Senior management is worried that this internal conflict is damaging firm performance.

## Instructions:

1. Use the 3-question framework:
  - Who is making the problematic decision?
  - Do they have the right information?
  - Are their incentives aligned?
2. Propose a structural change (cost center? new incentive system? centralized pricing?) to resolve the conflict.
3. What metrics would you tie performance to in order to balance divisional and firm-wide goals?

# Activity – Fix the Division Conflict

- Problem: Chip Division acting like a profit center → high internal prices → poor competitiveness.
- Diagnosis:
  - Decision Maker: Chip Division
  - Info: Yes
  - Incentives: No. Focused on its own profit
- Solution:
  - Convert Chip Division into a cost center for internal sales
  - Centralize pricing for strategic components
  - Create shared success metrics tied to overall product profitability or firm revenue
  - Optionally use dual pricing: lower internal price + HQ subsidy

# Discussion Activity 2

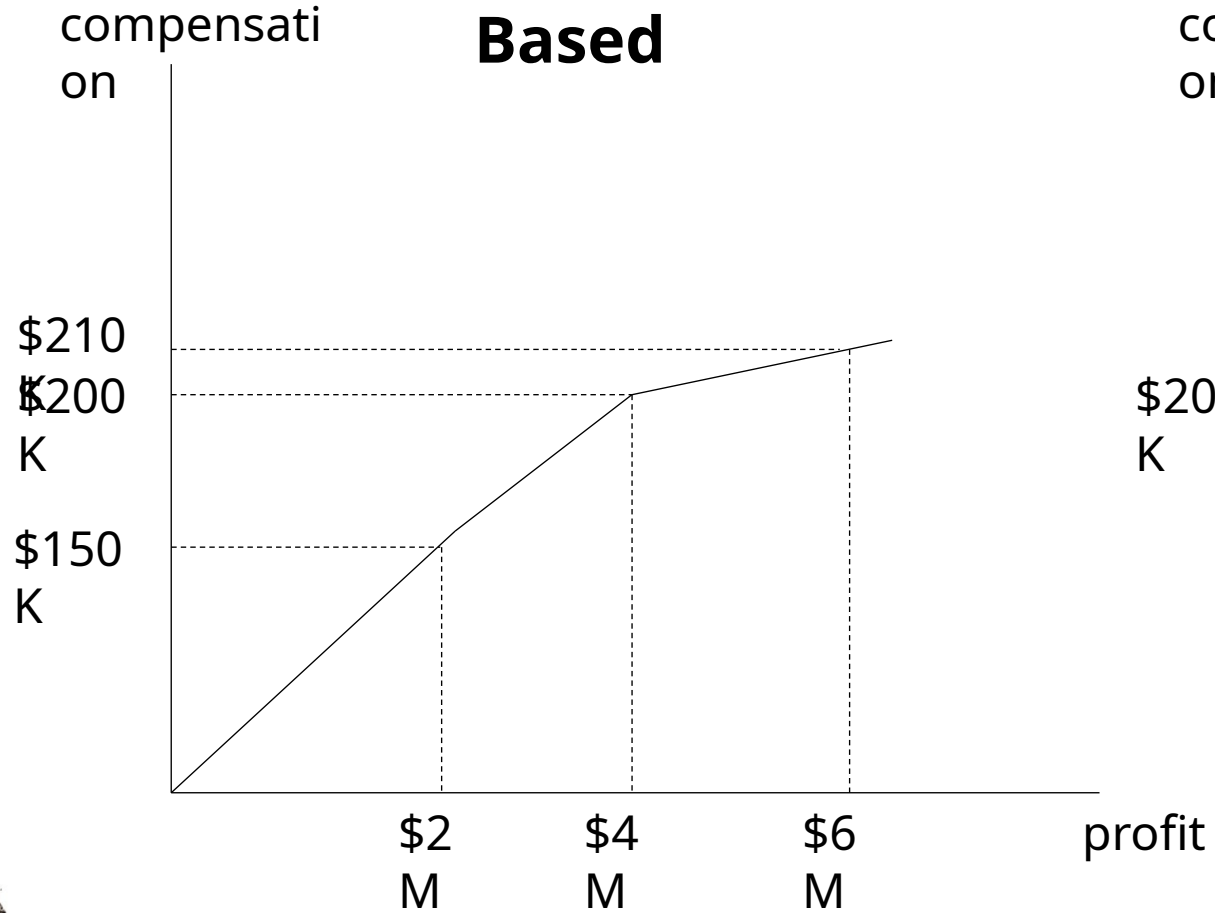
- When would you choose a functional silo over a process (M-form) team? What's the trade-off?
- Think about specialization, coordination costs, and project complexity.

# Budget Gaming

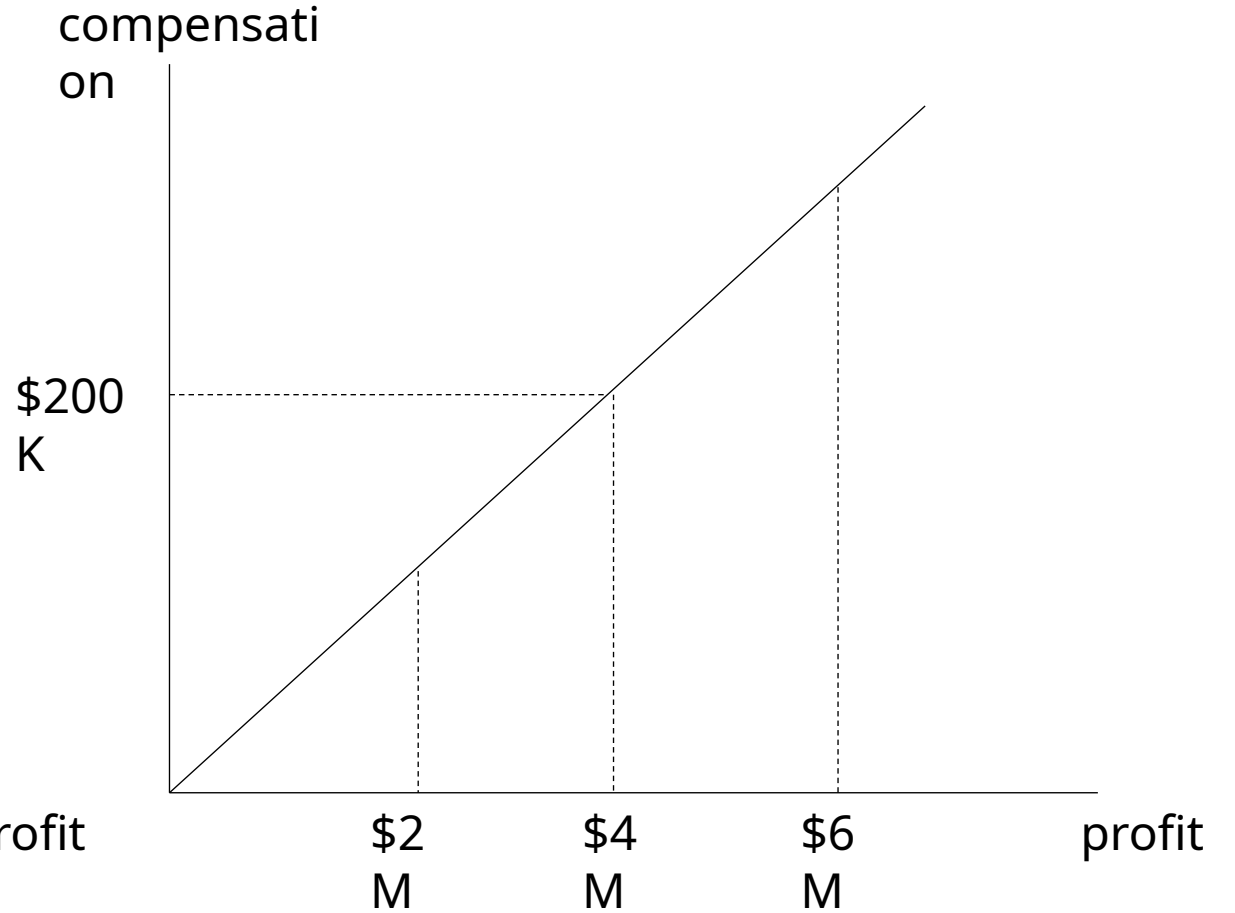
- Bonuses tied to hitting budget targets leads to managers lowballing forecasts.
  - Creates distorted information and misaligned production decisions.
- Example: Toy company underproduced due to sandbagged sales forecasts.
- Managers accelerate sales or delay costs to “hit” numbers.
  - Solution: Use **linear pay-for-performance**, not threshold-based bonuses.
- Managers may “stuff channels” with product at year-end to book fake revenue
- Others pull sales forward or defer costs to manipulate earnings
  - Solution: Use a **straight-line incentive system** where managers are rewarded for every dollar of profit and not specific goals

# Budget Gaming

## Incentive Based



## Linear Based



# Activity – Uncover the Budget Gaming

## Scenario:

- You're brought in to investigate an operations division that's consistently under-promising and over-delivering on its yearly budget. For the last three years, they've:
  - Understated projected output
  - Overstated expected labor and raw material costs
  - Hit targets with ease, and secured larger bonuses than peer units
- Leadership suspects budget gaming, but it hasn't been clearly proven or solved yet.

## Instructions:

- Identify which behaviors in this case point to budget gaming.
- Propose a change to the budget-setting or bonus structure to reduce the incentive to game the system.
- How would you track whether your solution actually changes behavior?

# Activity – Uncover the Budget Gaming

## 1. Gaming Behaviors:

- Forecasting lower performance than true capability
- Padding costs to build cushion for over-performance
- Using past success to negotiate easier future targets

## 2. Possible Fixes:

- Base bonuses on relative performance (vs. peers) instead of exceeding own forecast
- Introduce rolling forecasts reviewed quarterly instead of static annual budgets
- Tie part of the bonus to accuracy of forecasting, not just exceeding it
- Use zero-based budgeting occasionally to reset baselines

## 3. Metrics to Monitor:

- Forecast error rate over time (is it shrinking?)
- Bonus dispersion vs. value creation
- Internal audit or peer review of budget assumptions
- Track whether forecasted inputs match market trends or procurement data

# Discussion Activity 3

- Why do managers “lowball” budget forecasts? How can you reward honesty instead?
- Think about how bonus structures create pressure to manipulate information.

# Solutions Framework – Aligning Divisions with Firm Goals

- Use the 3-question diagnostic:
  1. Who is making the bad decision?
  2. Do they have the right info?
  3. Are their incentives aligned?
- Then solve by:
  - Reassigning decision rights
  - Transferring critical information
  - Redesigning incentives
- Choose between:
  - **Profit centers** (high autonomy, high conflict risk)
  - **Cost centers** (low conflict, more oversight)
  - **M-form teams** (cross-functional accountability)

# Solutions Framework – Aligning Divisions with Firm Goals

- If the decision maker lacks incentive alignment, change the compensation structure.
  - If they lack information, move decision rights elsewhere or improve communication.
  - If both are issues, consider structural reorganization (like M-form vs. functional silos).
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- Profit centers motivate performance, but risk internal competition.
  - Cost centers reduce conflicts but need monitoring to prevent slacking or quality issues.
  - M-form structures reduce coordination problems by making one team own the full outcome.

# Key Takeaways

- Divisions often act as **profit centers**, but that can create internal conflicts.
- Problems arise from misaligned:
  - **Transfer pricing**
  - **Budget targets**
  - **Organizational structure**
- Use the 3-question framework to diagnose:
  - Who made the decision?
  - Did they have the info?
  - Were incentives aligned?
- Solutions: realign decision rights, incentives, and information flow.

# Knowledge Check

1. What is the downside of having two profit centers involved in a single product's delivery?
2. What's the purpose of transfer pricing, and why is it not always neutral?
3. How does a cost center differ from a profit center?
4. Why do functional silos often struggle with coordination?
5. What kind of incentive system reduces budget gaming?

# Knowledge Check Answers

1. Double markups can raise internal costs, harming competitiveness and total firm profit.
2. It allocates internal costs/revenues but can distort behavior if not aligned with firm goals.
3. Profit centers track revenue and cost; cost centers focus only on cost control and require more oversight.
4. Because they optimize locally and may not see or prioritize firm-wide outcomes.
5. Linear pay-for-performance systems reward every dollar earned, reducing incentives to game.

# Consultant's Challenge: Align the Divisions

## Scenario:

- A large multinational firm has grown by acquisition and now suffers from siloed divisions with conflicting incentives. One division is withholding key software updates to increase its own profitability, delaying firm-wide product launches.

## Your Task:

1. Diagnose the issue using the 3-question framework.
2. Recommend whether to:
  - Convert one unit to a cost center
  - Introduce M-form cross-functional teams
  - Centralize key decision rights
3. What organizational or compensation changes would align incentives across divisions?